MGT603 Subjective objective
Lecture 23 to 45
Shared by SHAZIA BHATTI

Lecture#23 and 24

1. Question Formulation framework is considered to be the input stage of comprehensive strategy formulation framework u r required identifying strategy formulation tool in this stage?

Answer page 97

Stage-1 (Formulation Framework)

1. **External factor evaluation**
2. **Competitive matrix profile**
3. **Internal factor evaluation**

Stage 1of the formulation framework consists of the EFE Matrix, the IFE Matrix, and the Competitive

Profile Matrix. Called the Input Stage, Stage 1 summarizes the basic input information needed to formulate strategies.

2. Question Describe three stages of strategy formulation?

Answer page 97

A Comprehensive Strategy-Formulation Framework

Important strategy-formulation techniques can be integrated into a three-stage decision-making framework, as shown below. The tools presented in this framework are applicable to all sizes and types of organizations and can help strategists identify, evaluate, and select strategies.

Stage-1 (Formulation Framework)

1. **External factor evaluation**
2. **Competitive matrix profile**
3. **Internal factor evaluation**

Stage-2 (Matching stage)

1. **TWOS Matrix (Threats-Opportunities-Weaknesses-Strengths)**
2. **SPACE Matrix (Strategic Position and Action Evaluation)**
3. **BCG Matrix (Boston Consulting Group)**
4. **IE Matrix (Internal and external)**
5. **GS Matrix (Grand Strategy)**

Stage-3 (Decision stage)

1. **QSPM (Quantitative Strategic Planning Matrix)**

3. What are opportunities and threats? Explain briefly with the help of two examples of each Strengths are attributes of the organization that are helpful to the achievement of the objective.

Answer page 98

Opportunities are external conditions that are helpful to the achievement of the objective.

Threats are external conditions that are harmful to the achievement of the objective.

Opportunities and threats are external factors.
For example, an opportunity could be a developing distribution channel such as the Internet, or changing consumer lifestyles that potentially increase demand for a company's products. A threat could be a new competitor in an important existing market or a technological change that makes existing products potentially obsolete. It is worth pointing out that SWOT analysis can be very subjective - two people rarely come-up with the same version of a SWOT analysis even when given the same information about the same business and its environment. Accordingly, SWOT analysis is best used as a guide and not a prescription. Adding and weighting criteria to each factor increases the validity of the analysis.

4. Question list down steps involved in constructing a TOWS Matrix:
Answer page 99
There are eight steps involved in constructing a TOWS Matrix:
1. Rank external opportunities
2. Rank external threats
3. Rank internal strength
4. Rank internal weaknesses.
5. Match internal strengths with external opportunities and mention the result in the SO Strategies cell.
6. Match internal weaknesses with external opportunities and mention the result in the WO Strategies cell..
7. Match internal strengths with external threats and mention the result in the ST Strategies cell.
8. Match internal weaknesses with external threats and mention the result in the WT strategies cell.

MCQ's
1. Which stage of the "Strategy Formulation Framework" includes an External Factor Evaluation Matrix and a Competitive Profile Matrix?
- **► Matching**
- **► Decision**
- **► Input page 97**
- **► All of the given options**

Formulation framework consists of the EFE Matrix, the IFE Matrix, and the Competitive Profile Matrix Called the Input Stage.

2. Input stage of strategy formulation framework includes developing which of the following set of matrices?
- **► IFE, EFE and QSPM matrix**
- **► IFE, IE and BCG matrix**
- **►IFE, CPM and EFE matrix page 97**
- **► EFE, IE and CPM matrix**

Input Stage: Stage 1 of the formulation framework consists of the EFE Matrix, the IFE Matrix, and the Competitive Profile Matrix.

3. Matching stage of strategy formulation framework comprises of formulation of which of the following set of matrices?
► BCG, SPACE, QSPM matrix
► BCG, SPACE, TWOS Matrix PAGE 97
► SPACE, TWOS and IFE matrix
► BCG, SPACE, EFE Matrix

4. Which of the following stages of Strategy Formulation Framework involves development of Internal-Factor Evaluation Matrix?
►Input stage page 97
►Output stage
►Matching stage
►Decision stage

5. Which of the following stages of strategy formulation framework involves development of Internal External Matrix?
► Input stage
►Output stage
►Matching stage pg97
►Decision stage
Matching stage
TWOS Matrix (Threats-Opportunities-Weaknesses-Strengths) 2. SPACE Matrix (Strategic Position and Action Evaluation) 3. BCG Matrix (Boston Consulting Group)4. IE Matrix (Internal and external) 5. GS Matrix (Grand Strategy)

Lecture #25

1. Strategic position and the action evaluation of space matrix
Answer page 100
The Strategic Position and Action Evaluation (SPACE) Matrix is another important Stage 2 matching tool of formulation framework. It explains that what is our strategic position and what possible action can be taken. It is not closed matrix. It is prepared on graph. This follow counter clock wise direction. It contains four-quadrant named aggressive, conservative, defensive, or competitive strategies. The axes of the SPACE
Matrix represent two internal dimensions financial strength [FS] and competitive advantage [CA]) and two external dimensions (environmental stability [ES] and industry strength [IS]). These four factors are the most important determinants of an organization's overall strategic position.

2. Name and explain dimensions of space matrix
Answer page 100
It is divided into two internal and external dimensions which are as follow (Internal dimensions) financial strength, competitive advantage, (External dimensions) environment stability and industry strength. This sequence is convention to be followed as graphed above. This frame work determines appropriate set of

strategies for each quadrant. First quadrant is aggressive the firm fall in this quadrant that fellow the aggressive strategy. Second quadrant is conservative all those firms that fall n this quadrant that must fallow conservative strategy and in next the firm fellow the defensive strategy. All the firms fall on competitive follow that strategy. After a rating is assigned ranging from +1 (worst) to +6 (best) to each of the variables that make up the financial strength and industry strength dimensions. Assign a numerical value ranging from -1 (best) to -6 (worst) to each of the variables that make up the environment stability and Competitive advantage dimensions.

MCQ's

1. What type of strategies would you recommend WHen a firm's SPACE Matrix directional vector has the coordinates (-4, -4)?

- **► Aggressive**
- **► Conservative**
- **► Competitive**
- **► Defensive pag#100**

2. Identify a case when a firm should adopt aggressive strategies.

►If a firm's directional vector is located in upper-right quadrant of a SPACE Matrix page 100

►If a firm's directional vector is located in upper-left quadrant of a SPACE matrix

►If a firm's directional vector is located in lower-right quadrant of a SPACE matrix

►If a firm's directional vector is located in lower-left quadrant of a SPACE matrix

3. SPACE matrix has four quadrants. All of the following are SPACE Matrix Quadrants EXCEPT:

- **► Aggressive**
- **► Defensive**
- **► Competitive**
- **► Offensive page 100**

SPACE matrix

Contains four-quadrant named aggressive, conservative, defensive, or competitive strategies

5. What type of strategies would you recommend when a firm's SPACE Matrix directional vector has the coordinates (+2, +3)?

- **► Aggressive page 100**
- **► Conservative**
- **► Competitive**
- **► Defensive**

Lecture #26

1. Assume that u want to determine internal external position of your company through SPACE matrix what factors or the variables will you consider under each of the following?
Answer page #101
Internal Strategic Position
A. Financial Strength (FS)
Risk involved in business
Debt to equity ratio
Working capital condition
Leverage
Liquidity
Ease of exit from market
Cash flow statement
Return on investment
b. Competitive Advantage (CA)
Access to the market
Market share
Quality of product and services
Product life cycle
Customer loyalty
Capacity, location and layout
Technological know-how
Backward and forward integration

External Strategic Position
C .Environmental Stability (ES)
Impact of technology
Price elasticity of demand
Political situation
Demand variability
Price range of competing products
Rate of inflation
Competitive pressure
D .Industry Strength (IS)
Demand and supply factors
Resource utilization
Growth potential
Profit potential
Financial stability
Technological know-how
Productivity, capacity utilization
Capital intensity
Ease of entry into market

2. List down step for preparation SPACE matrix?
Steps for the preparation of SPACE Matrix

Answer page #102

The steps required to develop a SPACE Matrix are as follows:

1. Select a set of variables to relating to financial strength, competitive advantage, environmental stability, and industry strength.

2. Assign a numerical value ranging from +1 (worst) to +6 (best) to each of the variables that make up the financial strength and industry strength dimensions. Assign a numerical value ranging from -1 (best) to -6 (worst) to each of the variables that make up the environmental stability and competitive advantage dimensions.

3. Compute an average score and dividing by the number of variables

4. Plot the average scores in the SPACE Matrix.

5. Add the two scores on the x-axis and plot the resultant point on X. Add the two scores on the y-axis and plot the resultant point on Y. Plot the intersection of the new xy point.

6. Draw a directional vector from the origin of the SPACE Matrix through the new intersection point.

This vector reveals the type of strategies recommended for the organization: aggressive, competitive, defensive, or conservative.

1. Which of the following are the two internal dimensions represented on the axes of the SPACE Matrix?

► Environmental stability and industry strength

► Industry strength and competitive advantage

► Competitive advantage and financial strength PAGE101

►Financial strength and environmental stability

SPACE Matrix

SPACE Matrix represent two internal dimensions financial strength and competitive

2. All of the following would be considered while judging the financial strength ofan organization EXCEPT:

► Increase in revenues

► Market share page101

► Return on Investment

► Cash flow statement

3. Which of the following is not the step of preparation SPACE matrix?

> Select a set of variables to relating to financial strength, competitive advantage, environmental stability, and industry strength.

>Assign a numerical value ranging from +1 (worst) to +6 (best) to each of the variables that make up the financial strength and industry strength dimensions.

>.Compute an average score and dividing by the number of variables

> assign weights to variables according to their relative importance to the firm.page102

Lecture#27

1. Simplify these terms Cash Cows, Star, Dogs, and Question Mark using in BCG matrix
Answer page#103
The BCG matrix displays the various business units on the graph of market growth rate vs. market share relative to competitors
Dogs: Low market share, low market growth rate
Question mark: Small market share in a high growth market
Stars: High market share, high market growth rate
Cash cows: large market share in a slow, mature growing industry

2. Explain the benefits and limitations of developing a Boston Consulting Group Matrix. (Page 104)
Answer
The Boston Matrix thus offers a very useful 'map' of the organization's product (or service) strengths and weaknesses (at least in terms of current profitability) as well as the likely cash flows.
The need which prompted this idea was, indeed, that of managing cash-flow. It was reasoned that one of the main indicators of cash generation was relative market share, and one which pointed to cash usage was that of market growth rate.
Limitations
1. Viewing every business as a star, cash cow, dog, or question mark is overly simplistic.
2. Many businesses fall right in the middle of the BCG matrix and thus are not easily classified.
3. The BCG matrix does not reflect whether or not various divisions or their industries are growing over time.
4. Other variables besides relative market share position and industry growth rate in sales are important in making strategic decisions about various divisions.

MCQ's
1. BCG matrix is used in matching stage of strategy formulation framework. It plots the business units along which of the following dimensions?
► Market share and industry strength
► Market share and market growth rate
► Market growth rate and competitive position
► Market growth rate and environment stability
Handout Page#103

2. When a division of an organization has a high relative market share and is in a fast growing industry, it will be categorized as which type in BCG matrix?
► Star
► Cash cow
► Question mark
► Dog
Stars Units with a high market share in a fast-growing industry Page#103

Lecture #28 and 29

1. Analysis that your company located in the 2 quadrant in the grand strategy matrix what type strategies should be adopted and why?

Answer page 108

Quardrant-2

Market development
Market penetration
Product development
Horizontal integration
Divestiture
Liquidation

Qurdant-2contains that company's having weak competitive situation and rapid market growth. Firms positioned in Quadrant II need to evaluate their present approach to the marketplace seriously.

Although their industry is growing, they are unable to compete effectively, and they need to determine why the firm's current approach is ineffectual and how the company can best change to improve its competitiveness. Because Quadrant II firms are in a rapid-market-growth industry, an intensive strategy

(As opposed to integrative or diversification) is usually the first option that should be considered.

2. List down Steps that must follow while preparing IE matrix?

Answer Steps for the development of IE matrix page106

1. Based on two key dimensions IFE and EFE.
2. Plot IFE total weighted scores on the x-axis and the EFE total weighted scores on the y axis
3. on the x-axis of the IE Matrix, an IFE total weighted score of 1.0 to 1.99 represents a weak internal position; a score of 2.0 to 2.99 is considered average; and a score of 3.0 to 4.0 is strong.
4. on the y-axis, an EFE total weighted score of 1.0 to 1.99is considered low; a score of 2.0 to 2.99 is medium; and a score of 3.0 to 4.0 is high.
5. IE Matrix divided into three major regions.
Grow and build – Cells I, II, or IV
Hold and maintain – Cells III, V, or VII
Harvest or divest – Cells VI, VIII, or IX

3. What is the best strategy the firm falling in Quadrant IV of Grand Strategy Matrix?

Answer page#108

Qurdant-4 contains that company's strong competitive situation and slow market growth.

Finally, Quadrant IV businesses have a strong competitive position but are in a slow growth Industry. These firms have the strength to launch diversified programs into more promising growth areas. Quadrant IV firms have characteristically high cash flow levels and limited internal growth needs and often can pursue concentric,

horizontal, or conglomerate diversification successfully. Quadrant IV firms also may pursue joint ventures
Quardrant-4
Concentric diversification
Horizontal diversification
Conglomerate diversification
Joint ventures

MCQ's
1."The business has a strong competitive position but is in a slow-growth industry. Further, the business typically has high cash flow levels and limited internal growth needs." The statement refers which of the following?
►The firm falling in Quadrant I of Grand Strategy Matrix
►The firm falling in Quadrant II of Grand Strategy Matrix
►The firm falling in Quadrant III of Grand Strategy Matrix
►The firm falling in Quadrant IV of Grand Strategy Matrix
Page#108 Qurdant-4 contains that company's strong competitive situation and slow market growth Quadrant IV firms have characteristically high cash flow levels and limited internal growth needs and often can pursue concentric, horizontal, or conglomerate diversification successfully

2. In Grand strategy matrix what will be the appropriate quadrant for the Ahmad textiles if it is operating in slow growing market and holds weak competitive position?
► Quadrant I
► Quadrant II
► Quadrant III
► Quadrant IV
Qurdant-3 contains that company's weak competitive situation and slow market growth.Page#108

3. Firms located in which quadrant of the Grand Strategy Matrix are in an excellent strategic position?
►I
► II
► III
► IV
Firms located in Quadrant I of the Grand Strategy Matrix are in an excellent strategic position. Page#107

4. on the x-axis of IE Matrix, an IFE total weighted score of 3.75 depicts what?
►A weak internal position
►An average internal position
►A strong internal position
►A low internal position

Page#106 on the x-axis of the IE Matrix, an IFE total weighted score of 1.0 to 1.99 represents a weak internal position; a score of 2.0 to 2.99 is considered average; and a score of 3.0 to 4.0 is strong.

5. Which of the following stages of strategy formulation framework involves development of Internal External Matrix?
►Input stage
►Output stage
►Matching stage
►Decision stage
Page#105& 97

6. IE matrix is based on which dimensions?
► Market share and industry growth
►Financial strength and industry strength
► Weighed scores of IFE and EFE matrices
► Market growth and competitive position
It relate to internal (IFE) and external factor evaluation (EFE). The findings form internal and external position and weighted score plot on it. Page#105

Lecture #30
1. Describe limitations and advantages of QSPM?
Answer page #111
Limitations
1. Requires intuitive judgments and educated assumptions
2. Only as good as the prerequisite inputs
3. Only strategies within a given set are evaluated relative to each other
Advantages
1. Sets of strategies considered simultaneously or sequentially
2. Integration of pertinent external and internal factors in the decision making process
2. QSPM requires intuitive judgments and educated assumptions.
Discuss. Page 110
Answer
(Quantitative Strategic Planning Matrix) QSPM. Strategists should use good intuitive judgment in selecting strategies to include in a QSPM.
The last stage of strategy formulation is decision stage. In this stage it is decided that which way is most appropriate or which alternative strategy should be select. This stage contains QSPM that is only tool for objective evaluation of alternative strategies. A quantitative method used to collect data and prepare a matrix for strategic planning. It is based on identified internal and external crucial success factors.
That is only technique designed to determine the relative attractiveness of feasible alternative action. This technique objectively indicates which alternative strategies are best.
The QSPM uses input from

Stage 1 analysis and matching results from Stage 2 analyses to decide objectively among alternative strategies. That is, the EFE Matrix, IFE Matrix, and Competitive Profile Matrix that make up Stage 1, coupled with the TOWS Matrix, SPACE Analysis, BCG Matrix, IE Matrix, and Grand Strategy Matrix that make up Stage 2, provide the needed information for setting up the QSPM (Stage 3). (page 110)

MCQ'S

1. What can be the limitation of QSPM?

►Only a few strategies can be evaluated simultaneously

►The cost of doing the analysis is very high

►Intuitive judgments and educated assumption are required

►It requires equal participation of everyone in organization

Page#111

Limitations

1. Requires intuitive judgments and educated assumptions

2. Only as good as the prerequisite inputs

3. Only strategies within a given set are evaluated relative to each other

2. "Other than ranking strategies to achieve the prioritized list, only one analytical technique in strategy formulation which is designed to determine the relative attractiveness of feasible alternative actions" is known as:

►SPACE

►QSPM

►IFE

►CPM

That is only technique designed to determine the relative attractiveness of feasible alternative action.Page#110

3. Alternative strategy is decided in decision stage of Strategy-Formulation Framework.
Which matrix is used in this stage to serve this purpose?

► BCG Matrix

► SPACE Matrix

► IE Matrix

► QSPM Matrix

Page#110The Quantitative Strategic Planning Matrix (QSPM)

The last stage of strategy formulation is decision stage. In this stage it is decided that which way is most appropriate or which alternative strategy should be select. This stage contains QSPM that is only tool for objective evaluation of alternative strategies.

Lecture#31

1. What are functional-level objectives? Write two statements exemplifying these objectives.
Answer page 113

Functional level
E.g. specific objectives for marketing activities
Examples of functional marketing objectives" might include:
• We aim to build customer database of at least 250,000 households within the next 12 months
• We aim to achieve a market share of 10%
• We aim to achieve 75% customer awareness of our brand in our target markets .

2. What are corporate-level objectives? Write two statements exemplifying these objectives.
Answer page 113
(1) Corporate level
These are objectives that concern the business or organization as a whole
Examples of "corporate objectives might include:
• We aim for a return on investment of at least 15%
• We aim to achieve an operating profit of over £10million on sales of at least £100 million
• We aim to increase earnings per share by at least10% every year for the foreseeable future
3. What are the SMART criteria in annual objectives?
Answer page113
The SMART criteria
Specific - the objective should state exactly what is to be achieved.
Measurable - an objective should be capable of measurement – so that it is possible to determine whether (or how far) it has been achieved
Achievable - the objective should be realistic given the circumstances in which it is set and the resources available to the business.
Relevant - objectives should be relevant to the people responsible for achieving them
Time Bound - objectives should be set with a time-frame in mind. These deadlines also need to be realistic.

MCQ'S
1. Strategy formulation:
►Is managing forces during the action
►Focuses on effectiveness
►Is primarily an operational process
►Requires coordination among many people
Page#112 Strategy formulation focuses on effectiveness.

2. Which of these is TRUE about strategy implementation?
►It refers to positioning forces before the action
►It focuses on effectiveness
►It is primarily an operational process
►It is primarily an intellectual process
Strategy implementation is primarily an operational process. Page#112

3. Which of the following is TRUE about Strategy formulation?
►It manages forces during the action
►It requires good intuitive and analytical skills
►It is primarily an operational process
►It requires special motivation and leadership skills
Strategy formulation requires good intuitive and analytical skills. Page#112

4. Which of the following is a Functional level objective?
► Achieving return on investment of at least 15%
►Aiming to achieve a market share of 10%
►Attaining operating profit of over Rs.10 million
► Increase earnings per share by at least 10% every
Page#113 Functional level Objective
Examples of functional marketing objectives" might include:
• We aim to build customer database of at least 250,000 households within the next 12 months
• We aim to achieve a market share of 10%
• We aim to achieve 75% customer awareness of our brand in our target markets

5. Which of the following is a corporate level objective?
►Getting 75% customer awareness of company's brand in target markets
►Increasing earnings per share by at least 10%
►Building customer database of at least 250,000 companies
►Achieving a 10% share of International market
Page#113 Examples of "corporate objectives might include:
• We aim for a return on investment of at least 15%
• We aim to achieve an operating profit of over £10 million on sales of at least £100 million
• We aim to increase earnings per share by at least 10% every year for the foreseeable future

Lecture #32
1. Question is there any optimal organizational design or structure for a given strategy or type of organization and what can e possible indicator that can reveals the organizational structure is ineffective?
Answer page117
There is no one optimal organizational design or structure for a given strategy or type of organization.
That is appropriate for one organization may not be appropriate for a similar firm, although successful firms in a given industry do tend to organize themselves in a similar way.
Symptoms of an ineffective organizational structure include too many levels of management, too many meetings attended by too many people, too much attention being directed toward solving interdepartmental conflicts, too large a span of control, and too many unachieved objectives. Changes in structure can facilitate strategy implementation efforts, but changes in structure should not be expected to

make a bad strategy good, to make bad managers good, or to make bad products sell.

2. Question Parties to conflict can conceptualize responses according to two dimensional schemes; what should be the hypothesis of this scheme?
Answer page#117
Theorists have claimed that parties can conceptualize responses to conflict according to a two-dimensional scheme; concern for one's own outcomes and concern for the outcomes of the other party. This scheme leads to the following hypotheses:
• High concern for both one's own and the other party's outcomes leads to attempts to find mutually beneficial solutions.
• High concern for one's own outcomes only leads to attempts to "win" the conflict.
• High concern for the other party's outcomes only leads to allowing the other to "win" the conflict.
• No concern for either side's outcomes leads to attempts to avoid the conflict.

MCQ'S
1. Which one of the following is the organizational structure that most of the medium size organizations follow?
►Divisional structure
►Strategic business unit
►Functional structure
►Matrix structure
Medium-size firms tend to be divisionally structured (decentralized).Page#117

2. Which of the following is NOT a part of resource allocation plan?
►Basic allocation decision
►Contingency mechanisms
►Primary allocation mechanism
►None of the given options
The plan has two parts: Firstly, there is the basic allocation decision and secondly there are contingency mechanisms. Page#116

3. A state of opposition between persons or ideas which are occasionally characterized by physical violence may be known as:
► Conflict
► Compromise
► Diffusion
► Avoidance
Conflict is a state of opposition, disagreement or incompatibility between two or more people or groups of people, which is sometimes characterized by physical violence. Page#116

4. the organizations, where resource allocation is not based on strategic-management approach to decision making, which approach is used for resource allocation?

►Financial budget

► Relative importance of departments

►on political or personal factors

► Relative cost of each resources

In organizations that do not use a strategic-management approach to decision making, resource allocation is often based on political or personal factors. Page#116

5. Which of the following is NOT a major factor that commonly prohibits effective resource allocation?

► Overprotection of resources

► Organizational politics

►Vague strategy targets

► Ability to take risks

A number of factors commonly prohibit effective resource allocation, including an overprotection of resources, too great an emphasis on short-run financial criteria, organizational politics, vague strategy targets, a reluctance to take risks, and a lack of sufficient knowledge Page#116

Lecture#33

1. Discuss similarities and dissimilarities of restructuring and reengineering.

Answer (page 120)

Restructuring and reengineering are becoming commonplace on the corporate landscape across the United States and Europe. Restructuring—also called downsizing, rightsizing, or delivering involves reducing the size of the firm in terms of number of employees, number of divisions or units, and number of hierarchical levels in the firm's organizational structure. This reduction in size is intended to improve both efficiency and effectiveness. Restructuring is concerned primarily with shareholder well-being rather than employee well-being.

In contrast, reengineering is concerned more with employee and customer well-being than shareholder well-being. Reengineering—also called process management, process innovation, or process redesign—involves reconfiguring or redesigning work, jobs, and processes for the purpose of improving cost, quality, service, and speed. Reengineering does not usually affect the organizational structure or chart, nor does it imply job loss or employee layoffs. Whereas restructuring is concerned with eliminating or establishing, shrinking or enlarging, and moving organizational departments and divisions, the focus of reengineering is changing the way work is actually carried out.

Reengineering is characterized by many tactical (short-term, business function-specific) decisions, whereas restructuring is characterized by strategic (long-term, affecting all business functions) decisions.

2. What is the four ways of Divisional structure? Explain them?

Answer page#119

The divisional structures are

1. A divisional structure by geographic area

2. The divisional structure by product

3. Divisional structure by customer

4. A divisional structure by process

MCQ'S

1. Which organizational structure is the most simple and economical?

► Strategic business unit

► Functional structure

► Divisional structure

► Matrix structure

The most widely used structure is the functional or centralized type because this structure is the simplest and least expensive of the seven alternatives. Page#118

2. of the following, which one is FALSE regarding a functional organizational structure?

►The tasks, people, and technologies necessary to do the work of the business are grouped together

► Functional structures predominate in firms with single or narrow product lines

► Marketing, operations, and finance would be considered groups found within this type of structure

► Functional structure is designed to achieve flexibility and better communication

They are economically efficient, but lack flexibility. Communication between functional areas can be difficult. Page#118

3. Advantages of a functional organization structure would include all EXCEPT which one of the following?

► Promotes division and specialization of labor

► Promotes functional rivalry

► Promotes economic efficiency

► Promotes delegation of authority

Some disadvantages of a functional structure are that it forces accountability to the top, minimizes career development opportunities, and is sometimes characterized by low employee morale, line/staff conflicts, poor delegation of authority, and inadequate planning for products and markets. Page#118

4. Identify a situation in which a divisional structure by geographic area is considered to be most appropriate.

► Organizations have similar branch facilities located in widely dispersed areas

► An organization offers only a limited number of products or services

► Strict control and attention to product lines are needed

► An organization has many skilled managers

A divisional structure by geographic area is appropriate for organizations whose strategies need to be tailored to fit the particular needs and characteristics of

customers in different geographic areas. This type of structure can be most appropriate for organizations that have similar branch facilities located in widely dispersed areas Page#119

5. All of the following fall under the category of restructuring EXCEPT:
► **Reducing number of employees**
► **Reducing number of shareholders**
► **Reducing number of divisions**
► **Reducing number of hierarchical levels**
Restructuring—also called downsizing, rightsizing, or delayring—involves reducing the size of the firm in terms of number of employees, number of divisions or units, and number of hierarchical levels in the firm's organizational structure.
Page#120

6. Which term is most often concerned primarily with shareholder well-being rather than employee well-being?
► **Benchmarking**
► **Reengineering**
► **Product redesign**
► **Restructuring**
Page#120 Restructuring is concerned primarily with shareholder well-being rather than employee well-being.

7. All of the following would be considered as true statements regarding the matrix organizational structure EXCEPT which one?
►**It reduces managerial positions**
►**It shares authority and responsibility among managers**
►**It distributes stress among the team members**
►**It maintains better balance between time and performance**
A matrix structure can result in higher overhead because it creates more management positions. Page#120

Lecture#34
1. Suggest that what can be the best way to overcome individuals' resistance to change while taking corrective actions. (3 marks)
Taking corrective actions raises employees' and managers' anxieties. Research suggests that participation in strategy-evaluation activities is one of the best ways to overcome individuals' resistance to change.
According to Erez and Kanfer, individuals accept change best when they have a cognitive understanding of the changes, a sense of control over the situation, and an awareness that necessary actions are going to be taken to implement the changes.

MCQ'S

1. Zairian Corporation has streamlined its operations by cutting costs, such as decrease in payroll or reduction in its size through the sale of assets. In which of the following activity Zaria Corporation is involved?

►E-Engineering
►Re-engineering
►Restructuring
►Benchmarking
Page#121
The primary benefit sought from restructuring is cost reduction.
Characteristics:
Staff reductions are often accomplished partly through the selling or closing of unprofitable portions of the company and partly by consolidating or outsourcing parts of the company that perform redundant functions (such as payroll, human resources, and training) left over from old acquisitions that were never fully integrated into the parent organization.

2. All of the following are the managerial issues for managing natural environment EXCEPT:

► Global warming-depletion of rain forests
► Employee understanding about environment
► Developing biodegradable products and packages
► Waste management to clean air and water
Special natural environmental issues include ozone depletion, global warming, depletion of rain forests, destruction of animal habitats, protecting endangered species, developing biodegradable products and packages, waste management, clean air, clean water, erosion, destruction of natural resources, and pollution control.
Page#124

3. Which one of the following is Educative change strategy?

►Giving orders to subordinates and enforcing those orders
►Changing the strategy of educational institutions
►Presenting information to convince people of the need for change
►Attempting to convince individuals that the change is for their interest
The educative change strategy is one that presents information to convince people of the need for change; Page#124

4. A change strategy that attempts to convince people that the change is in their personal advantage is:

► Diffusion
► Force
► Educative
► Rational
Page#124
A rational or self-interest change strategy is one that attempts to convince individuals that the change is to their personal advantage.

5. Resistance to change can be considered the single greatest threat to successful strategy implementation.
► True
► False
Page#124
Resistance to change can be considered the single greatest threat to successful strategy implementation

Lecture #35
1. What is the stock ownership of employees?
Answer
Stock ownership plan (ESOP), are Corporations owned in whole or in part by their employees. Employees are usually given a share of the corporation after a certain length of employment or they can buy shares at any time. A corporation owned Entirely by its employees (a worker cooperative) will not, therefore, have its shares sold on public stock markets. Employee-owned corporations often adopt profit sharing where the profits of the corporation are shared with the employees. These types of corporations also often have boards of directors elected directly by the employees.
Page 127 last two lines to 128

MCQ'S
1. Production processes typically constitute of what percentage of firm's total assets?
►More than 70 %
►More than 65 %
►More than 60 %
►More than 55 %
Production processes typically constitute more than 70 percent of a firm's total assets. Page#126

2. Under Just in Time (JIT) approach, when the new stock is ordered?
►When stock comes to an end
►When stock reaches the re-order level
►On 1st of each month
►At the start of the year
New stock is ordered when stock reaches the re-order level. Page#126

3. The inventory is viewed as which of the following in Just In Time Inventory system
►Incurring costs
►Adding value
►Disburse expense
►None of the given options
Page#127

First off inventory is seen as incurring costs instead of adding value, contrary to traditional thinking

4. Which of the following best describes "Just in time"?
► implementing strategies just before bankruptcy
► delivering materials just as they are needed
►a scheduling method for meetings
►a personnel planning method
With JIT, parts and materials are delivered to a production site just as they are needed, rather than being stockpiled as a hedge against later deliveries Page#127

5. All of the following are strategic responsibilities of the human resource manager EXCEPT:
► Assessment of staff needs
► Assessment of costs for alternative strategies
► Development of staffing plan
► Development of financial plan
Staffing need of the organization and its cost is an important function of the human resource manager. The other main concerns include health, safety and security of the workers. The plan must also include how to motivate employees and managers during a time when layoffs are common and workloads are high page#127

6. How can an ESOP empower employees?
►It empowers employees to work as owners
►It empowers employees to make financial plan
►It empowers employees to assess customer's needs
►It empowers employees to give training to other workers
An employee stock ownership plan (ESOP), are corporations owned in whole or in part by their employees. Employees are usually given a share of the corporation after a certain length of employment or they can buy shares at any time. Page#128

Lecture # 36
1. Is market segmentation linked with the strategy implementation?
Answer page130 to 131
Market segmentation Link with strategy implementation
Market segmentation is widely used in implementing strategies, especially for small and specialized firms.
Market segmentation can be defined as the subdividing of a market into distinct subsets of customers according to needs and buying habits.
Market segmentation is an important variable in strategy implementation for at least three major reasons.
First, strategies such as market development, product development, market penetration, and diversification require increased sales through new markets and products. To implement these strategies successfully, new or improved market-segmentation approaches are required. Second, market segmentation allows a firm

to operate with limited resources because mass production, mass distribution, and mass advertising are not required. Market segmentation can enable a small firm to compete successfully with a large firm by maximizing per-unit profits and per-segment sales. Finally, market segmentation decisions directly affect marketing mix variables: product, place, promotion, and price

2. Difference between mass and target market?
Answer page129
Mass marketing refers to treatment of the market as a homogenous group and offering the same marketing mix to all customers. Mass marketing allows economies of scale to be realized through mass production, mass distribution, and mass communication. The drawback of mass marketing is that customer needs and preferences differ and the same offering is unlikely to be viewed as optimal by all customers. If firms ignored the differing customer needs, another firm likely would enter the market with a product that serves a specific group, and the incumbent firms would lose those customers.
Target marketing on the other hand recognizes the diversity of customers and does not try to please all of them with the same offering. The first step in target marketing is to identify different market segments and their needs.

MCQ'S
1. All of the following are the requirements for successful segmentation EXCEPT:
►Segment is large enough to be profitable
►Homogeneity between the segments
►Segments are accessible and actionable
►Heterogeneity between segments
Page#129The requirements for successful segmentation are:
• Homogeneity within the segment
• Heterogeneity between segments
• Segments are measurable and identifiable
• Segments are accessible and actionable
• Segment is large enough to be profitable.....

2. Market segmentation is especially used in implementing strategies by which of the following firms?
►Small firms
►Large firms
►Medium-size firms
►All of the given options
Market segmentation is widely used in implementing strategies, especially for small and specialized firms. Page#130

3. XYZ Company has segmented its market by keeping in view occupation and education level of customers. Which of the following bases of segmentation the company has used?
►Demographic

►Psychographic
►Behavioral
►Geographic
Page#130Demographic Segmentation
Some demographic segmentation variables include:
• Age
• Gender
• Family size
• Family lifecycle
• Generation: baby-boomers, Generation X, etc.
• Income
• Occupation
• Education
• Ethnicity
• Nationality
• Religion
• Social class

4. Identify a reason due to which market segmentation is considered to be an important variable in strategy implementation.
►All company strategies require increased sales through new markets and products
►It allows a firm to operate with limited resources
► Market segmentation decisions directly affect marketing mix variables
► All of the given options
Page#131 Market segmentation is an important variable in strategy implementation for at least three major reasons:
1. First, strategies such as market development, product development, market penetration, and diversification require increased sales through new markets and products.
2. Second, market segmentation allows a firm to operate with limited resources because mass production, mass distribution, and mass advertising are not required.
3. Finally, market segmentation decisions directly affect marketing mix variables: product, place, promotion, and price

Lecture #37 and 38
1. What is marketing mix? Name the factor components of marketing mix.
Answer page 132
The term "marketing mix" became popularized after Neil H. Borden published his 1964 article, The Concept of the Marketing Mix. Borden began using the term in his teaching in the late 1940's after James Culliton had described the marketing manager as a "mixer of ingredients". The ingredients in Borden's marketing mix included product planning, pricing, branding, distribution channels, personal selling, advertising, Promotions, packaging, display, servicing, physical handling, and fact finding and analysis. E. Jerome McCarthy later grouped these ingredients into the four categories that today are known as the 4 P's of marketing
Marketing Mix

Marketing decisions generally fall into the following four controllable categories:
• Product
• Price
• Place (distribution)
• Promotion

2. What do you understand by the term Product and what can be the possible considerations that you will take into account while making decisions regarding a product or service?

Answer page132

Product Decisions

The term "product" refers to tangible, physical products as well as services. Here are some examples of the product decisions to be made:

- **Quality**
- **Safety**
- **Packaging**
- **Brand name**
- **Functionality**
- **Styling**
- **Repair and support**
- **Warranty**
- **Accessories and services**

3. What can be the consideration of a firm while taking decision regarding the place as a component of marketing mix?

Answer page 133

Distribution (Place) Decisions

Distribution is about getting the products to the customer. Some examples of distribution decisions include:
• Distribution channels
• Market coverage (inclusive, selective, or exclusive distribution)
• Specific channel members
• Inventory management
• Warehousing
• Distribution centers
• Order processing
• Transportation
• Reverse logistics

4. Positioning is actually the way that a product is introduced to its market audience. What are the five steps required for effective product positioning?

Answer page 134

The following steps are required in product positioning:
1. Select key criteria that effectively differentiate products or services in the industry.
2. Diagram a two-dimensional product-positioning map with specified criteria on each axis.

3. Plot major competitors' products or services in the resultant four-quadrant matrix.
4. Identify areas in the positioning map where the company's products or services could be most competitive in the given target market. Look for vacant areas (niches).
5. Develop a marketing plan to position the company's products or services appropriately.

5. Finance or accounting plays an important role in successful strategy implementation process. You are required to give some of the examples of finance/accounting decisions that may require policies.(page no 135)
Answer page 135
Some examples of decisions that may require finance/accounting policies are:
1. To raise the amount of capital by issuing shares or obtaining a debt from external parties.
2. To enhance the inventory turn over level
3. To make or buy fixed assets.
4. To extend the time of accounts receivable.
5. To establish a certain percentage discount on accounts within a specified period of time.
6. To determine the amount of cash that should be kept on hand
7. To determine an appropriate dividend payout ratio.
8. to use LIFO, FIFO

6. Why the worth of the business is important in successful strategy implantation?
Answer page 139
Evaluating the Worth of a Business
Evaluating the worth of a business is central to strategy implementation because integrative, intensive, and diversification strategies are often implemented by acquiring other firms. Other strategies, such as retrenchment and divestiture, may result in the sale of a division of an organization or of the firm itself.
All the various methods for determining a business's worth can be grouped into three main approaches
1. What a firm owns
2. What a firm earns
3. What a firm will bring in the market.

7. Describe importance and limitations of financial budget?
Answer page 139
Fundamentally, financial budgeting is a method for specifying what must be done to complete strategy implementation successfully. Financial budgeting should not be thought of as a tool for limiting expenditures but rather as a method for obtaining the most productive and profitable use of an organization's resources. Financial budgets can be viewed as the planned allocation of a firm's resources based on forecasts of the future.

Financial budgets have some limitations. First, budgetary programs can become so detailed that they are cumbersome and overly expensive. Over budgeting or under budgeting can cause problems. Second, financial budgets can become a substitute for objectives. A budget is a tool and not an end in itself.
Third, budgets can hide inefficiencies if based solely on precedent rather than periodic evaluation of circumstances and standards. Finally, budgets are sometimes used as instruments of tyranny that result in frustration, resentment, absenteeism, and high turnover. To minimize the effect of this last concern, managers should increase the participation of subordinates in preparing budgets.

MCQ'S
1. Which one of the following is an example of product decisions?
► Brand name
► Volume discounts
► Distribution channels
► Order processing
Handout Page#132

2. Which variable would be considered as a part of pricing decisions?
►Warranty
►Bundling
►Safety
►Functionality
Page#133 Price Decisions
Some examples of pricing decisions to be made include:
• Pricing strategy (skim, penetration, etc.)
• Suggested retail price
• Volume discounts and wholesale pricing
• Cash and early payment discounts
• Seasonal pricing
• Bundling
• Price flexibility
• Price discrimination

3. Which one of the following is an example of place decisions?
► Safety and packaging
► Personal selling
► Public relations & publicity
► Order processing
Page#133 some examples of distribution decisions include:
• Distribution channels
• Market coverage (inclusive, selective, or exclusive distribution)
• Specific channel members
• Inventory management
• Warehousing
• Distribution centers

• Order processing
• Transportation
• Reverse logistics

4. All of the following are the examples of promotion decision EXCEPT:
► Personal selling
► Volume discounts
► Public relations
► Advertising
(Page#133) Promotional strategy (push, pull, etc.)
• Advertising
• Personal selling & sales force
• Sales promotions
• Public relations & publicity
• Marketing communications budget

5. All of the following steps are required in product positioning EXCEPT:
► Select key criteria that effectively differentiate products or services in the industry
► Position your firm in the middle of the map
► Plot major competitors' products or services in the resultant matrix
► Identify areas in the positioning map where the company' products or services could be most competitive in the given target market
The following steps are required in product positioning: Page#134
1. Select key criteria that effectively differentiate products or services in the industry.
2. Diagram a two-dimensional product-positioning map with specified criteria on each axis.
3. Plot major competitors' products or services in the resultant four-quadrant matrix.
4. Identify areas in the positioning map where the company's products or services could be most competitive in the given target market. Look for vacant areas (niches).
5. Develop a marketing plan to position the company's products or services appropriately.

6. Which of the following is NOT a decision that may require finance/accounting policies?
►To extend the time of accounts receivable
►To determine an appropriate dividend payout ratio
►To use LIFO, FIFO or a market-value accounting approach
►To determine the amount of product diversification
Page#135 Decisions that may require finance/accounting policies are:
1. To raise the amount of capital by issuing shares or obtaining a debt from external parties.
2. To enhance the inventory turn over level

3. To make or buy fixed assets.
4. To extend the time of accounts receivable.
5. To establish a certain percentage discount on accounts within a specified period of time.
6. To determine the amount of cash that should be kept on hand
7. To determine an appropriate dividend payout ratio.
8. To use LIFO, FIFO

7. What is a central strategy -implementation technique that allows an organization to examine the expected results of various actions and approaches?
►Financial budgeting
► TOWS analysis
► Projected financial statement
► External analysis
Pro forma (projected) financial statement analysis is a central strategy implementation technique because it allows an organization to examine the expected results of various actions and approaches. Page#136

8. In the low earnings period, which one of the following can endanger stockholders' return and can put in danger the company survival?
► Too much debt in the capital structure
► Too much liquid assets in the capital structure
► Too much equity in the capital structure
►Too much tax in the capital structure
In low earning periods, too much debt in the capital structure of an organization can endanger stockholders' return and jeopardize company survival. Page#136

9. Which of the following is the first step in preparing a pro forma financial analysis?
► Prepare the projected balance sheet
► Perform EPS/EBIT analysis
► Calculate the projected net income
► Prepare the projected income statement
Page#138 there are six steps in performing pro forma financial analysis:
1. Prepare income statement before balance sheet (forecast sales)
2. Use percentage-of-sales method to project CGS and expenses
3. Calculate projected net income
4. Subtract dividends to be paid from Net Income and add remaining to Retained Earnings
5. Project balance sheet times beginning with retained earnings
6. List comments (remarks) on projected statements.

10. Integrative, intensive, and diversification strategies are often implemented by which one of the followings?
► Liquidating firms
► Acquiring firms

► **Venturing firms**
► **Small firms**

Evaluating the worth of a business is central to strategy implementation because integrative, intensive, and diversification strategies are often implemented by acquiring other firms. Page#139

Lecture #39&40

1. Discuss the guide lines that can be use to determine whether the firm should conduct R&D internally or externally?
Answer page 141
Many firms wrestle with the decision to acquire R&D expertise from external firms or to develop R&D expertise internally. The following guidelines can be used to help make this decision:
1. If the rate of technical progress is slow, the rate of market growth is moderate, and there are significant barriers to possible new entrants, then in-house R&D is the preferred solution. The reason is that R&D, if successful, will result in a temporary product or process monopoly that the company can exploit.
2. If technology is changing rapidly and the market is growing slowly, then a major effort in R&D may be very risky, because it may lead to development of an ultimately obsolete technology or one for which there is no market.
3. If technology is changing slowly but the market is growing fast, there generally is not enough time for in-house development. The prescribed approach is to obtain R&D expertise on an exclusive or non exclusive basis from an outside firm.
4. If both technical progress and market growth are fast, R&D expertise should be obtained through acquisition of a well-established firm in the industry.

2. What is the purpose of strategy evaluation?
Answer page 145
Purpose of strategy evaluation
• Strategy evaluation is vital to the organization's well-being
• Alert management to potential or actual problems in a timely fashion
• Erroneous strategic decisions can have severe negative impact on organizations

3. Describe the process of strategies evaluation?
Answer page 146
The process of evaluating Strategies
1. Strategy evaluation is necessary for all sizes and kinds of organization. Strategy evaluation should initiate managerial questioning of expectations and assumptions should trigger a review of objectives and values and should stimulate creativity in generating alternative and formulating criteria of evaluation
2. Evaluating strategies on continuous rather than a periodic basis allows benchmark of progress to established and o\more effectively monitored

MCQ'S

1. R&D policies can enhance strategy implementation efforts to emphasize product or process improvements.
► True
► False
Page#140R&D policies can enhance strategy-implementation efforts to:
1. Develop robotics or manual-type processes.
2. Spend a high, average, or low amount of money on R&D.
3. Perform R&D within the firm or to contract R&D to outside firms.
4. Use university researchers or private sector researchers.
5. Emphasize product or process improvements.
6. Stress basic or applied research.
7. Be leaders or followers in R&D.

2. The in-house R&D is a preferred solution in which of the following situations?
► Technological progress is slow and market growth is moderate
► Technology is changing rapidly and market is growing slowly
► Technology is changing slowly and market is growing quickly
►Both technological progress and market growth rate are fast
If the rate of technical progress is slow, the rate of market growth is moderate, and there are significant barriers to possible new entrants, then in-house R&D is the preferred solution. Page#141

3. At least how many R & D approaches are used for the implementation of strategy?
► Two
► Three
► Four
► Five
Page#141There is at least three major R&D approaches for implementing strategies.
1. First firm to market new technological products
2. Be an innovative imitator of successful products
3. Low-cost producer of similar but less expensive products

4. If technology is changing rapidly and the market is growing slowly then what decision the firm should take regarding R & D?
► In-house R&D should be established
► Acquisition of a well-established firm in the industry
► R&D investment is risky, so don't take any action
► Obtain R&D expertise on an nonexclusive basis
If technology is changing rapidly and the market is growing slowly, then a major effort in R&D may be very risky, because it may lead to development of an ultimately obsolete technology or one for which there is no market. Page#141

5. Which of the following is NOT one of the major approaches to R&D?

►To be an innovative imitator of successful products
►To be a low-cost producer by mass-producing products
►To be a differentiated products manufacturer in industry
►To be the first firm to market new technological products
There are at least three major R&D approaches for implementing strategies.
1. First firm to market new technological products
2. Be an innovative imitator of successful products
3. Low-cost producer of similar but less expensive products Page#141

6. R&D expertise should be obtained through acquisition of a well-established firm in the industry in which of the following situation?
►If both technical progress and market growth are fast
►If technology is changing slowly but the market is growing fast
►If the technical progress is slow, market growth the rate is moderate
►If technology is changing rapidly and the market is growing slowly
PAGE#141If both technical progress and market growth are fast, R&D expertise should be obtained through acquisition of a well-established firm in the industry.

7. All of the following are included in Rumelt's criteria for evaluating strategies EXCEPT:
► Consonance
► Advantage
► Consistency
► Clarity
Page#145 Four Criteria (Richard Rummelt):
• Consistency
• Consonance
• Feasibility
• Advantage

8. What is the purpose of strategy evaluation?
►Increase the budget annually
►Alert management of problems
►Make budget changes
►Evaluate employees' performance
Page#145 Purpose of strategy evaluation
• Strategy evaluation is vital to the organization's well-being
•Alert management to potential or actual problems in a timely fashion
• Erroneous strategic decisions can have severe negative impact on organizations

9. while evaluating a strategy, corrective actions are almost always needed EXCEPT:
►When external and internal factors have not significantly changed
►When the firm is not progressing satisfactorily toward objectives
►When the firm has not achieved the stated organizational goals
►When there are differences between desired results and achieved results

Page#146 Corrective actions are almost always needed except when
(1) External and internal factors have not significantly changed and
(2) The firm is progressing satisfactorily toward achieving stated objectives.

3. Managers and employees of the firm should be continually aware of progress being made towards achieving the firm's objectives. As a critical success factors change, organization members should be involved in determining appropriate corrective action.

Lecture # 41

How firms can take "cost advantage" discuss by keeping in mind value chain activities?

Answer page 147

Creating a cost advantage based on the value chain

A firm may create a cost advantage:

• By reducing the cost of individual value chain activities, or
• By reconfiguring the value chain.

Porter identified 10 cost drivers related to value chain activities:

1. **Economies of scale.**
2. **Learning.**
3. **Capacity utilization.**
4. **Linkages among activities.**
5. **Interrelationships among business units.**
6. **Degree of vertical integration.**
7. **Timing of market entry.**
8. **Firm's policy of cost or differentiation.**
9. **Geographic location.**
10. **Institutional factors (regulation, union activity, taxes, etc.).**

2. Discuss porter's model primary activities of value chain?

Answer page 147

Porter supply chain model

The Value Chain framework of Michael Porter is a model that helps to analyze specific activities through which firms can create value and competitive advantage.

The activities of the Value Chain

• Primary activities (line functions)

Inbound Logistics: Includes receiving, storing, inventory control, transportation planning.

Operations: Includes machining, packaging, assembly, equipment maintenance, testing and all other value-creating activities that transform the inputs into the final product.

Outbound Logistics: The activities required to get the finished product at the customers: warehousing, order fulfillment, transportation, distribution management.

Marketing and Sales: **The activities associated with getting buyers to purchase the product, including: channel selection, advertising, promotion, selling, pricing, retail management, etc.**
Service: **The activities that maintain and enhance the product's value, including: customer support, repair services, installation, training, spare parts management, upgrading, etc.**

Write support activities of value chain?
Answer page 147
• Support activities (Staff functions, overhead)
Procurement: **Procurement of raw materials, servicing, spare parts, buildings, machines, etc.**
Technology Development: **Includes technology development to support the value chain**
Activities: **Such as: Research and Development, Process automation, design, redesign.**
Human Resource Management: **The activities associated with recruiting, development (education), retention and compensation of employees and managers.**
Firm Infrastructure: Includes general management, planning management, legal, finance, accounting, public affairs, quality management, etc.

MCQ'S
1. Which of the following statement is correct about human resource management?
►It includes procurement of raw materials, servicing, spare parts, buildings, machines
►It Includes technology development to support the value chain activities like Process automation
►It includes the activities associated with recruiting and development of employees and managers
►It includes general management, planning management, legal, finance, accounting, public affairs
Page#147 Human Resource Management: The activities associated with recruiting, development (education), retention and compensation of employees and managers.

2. All of the following are the cost drivers of Porter's supply chain activities EXCEPT:
►Capacity utilization
►Timing of market entry
►Economies of scale
►Firm's infrastructure
Page#147 Porter identified 10 cost drivers related to value chain activities:
1. Economies of scale.
2. Learning.
3. Capacity utilization.
4. Linkages among activities.
5. Interrelationships among business units.

6. Degree of vertical integration.
7. Timing of market entry.
8. Firm's policy of cost or differentiation.
9. Geographic location.
10. Institutional factors

3. Which of the following statement is TRUE about 'firm infrastructure' as a support activity of Michael Porter's value chain model?
►It includes procurement of raw materials, servicing, spare parts, buildings, machines
►It Includes technology development to support the value chain activities like Process automation
►It includes the activities associated with recruiting and development of employees and managers
►It includes general management, planning management, legal, finance, accounting, public affairs
Page#147 Firm Infrastructure: Includes general management, planning management, legal, finance, accounting, public affairs, quality management, etc

4. Outbound logistics includes which one of the following?
► Receiving, storing, inventory control, transportation planning
► Machining, packaging, assembly, equipment maintenance, testing
► Activities required to get the finished product at the customers
► Activities that maintain and enhance the product's value
Outbound Logistics: The activities required to get the finished product at the customers: warehousing, order fulfillment, transportation, distribution management Page#147

5. Which of the following statement is correct about operations?
► It includes receiving, storing, inventory control & transportation planning
► It includes machining, packaging, assembling, maintaining equipment &testing
►It includes the activities required to get the finished product at the customers
►It includes the activities that maintain and enhance the product's value
(Page 147) Operations: Includes machining, packaging, assembly, equipment maintenance, testing and all other value-creating activities that transform the inputs into the final product.

6. All of the following are support activities of Porter's supply chain model EXCEPT:
► Firm Infrastructure
► Marketing and Sales
► Technology Development
► Procurement
Page#147 Support activities (Staff functions, overhead)
Procurement:
Technology Development:

Human Resource Management:
Firm Infrastructure

7. Which one of the following statements best describes the activity 'marketing and sales' of Porter's supply chain model?
► Machining, packaging, assembly, equipment maintenance & testing
► Activities linked with getting buyers to purchase the product
► Activities that maintain and enhance the product's value
► Receiving, storing, inventory control & transportation planning
Marketing and Sales: The activities associated with getting buyers to purchase the product, including: channel selection, advertising, promotion, selling, pricing, retail management, etc. Page#147
8. Which of the following statement is TRUE about Inbound Logistics?
► It includes receiving, storing, inventory control & transportation planning
► It includes machining, packaging, assembly, equipment maintenance & testing
►It includes activities required to deliver the finished product to the customers' end
►It includes the activities that maintain and enhance the product's value
Inbound Logistics. Includes receiving, storing, inventory control, transportation planning.Page#147

9. All of the following are the examples of technology development EXCEPT:
►Research and Development
►Quality management
►Process automation
►Design and redesign
Technology Development: Includes technology development to support the value chain activities. Such as: Research and Development, Process automation, design, redesign. Page#147

Lecture #42

1. Managerial disorder and strategic deviation will appear if there is power struggle and conflicts among the departments of organization. The situation negates which one of the Rumelt's criteria?
► Consistency
► Consonance
► Feasibility
►Advantage
Consistency: Strategy should not present inconsistent goals and policies. Conflict and interdepartmental bickering symptomatic of managerial disorder and strategic inconsistency Page#149

2. Which one of the following is NOT considered as a difficulty in evaluation of strategies?
►Increase in environment's complexity
►Difficulty predicting future with accuracy

►Decreasing number of variables
►Rate of obsolescence of plans
Page#149Difficulty in strategy evaluation –
1. Increase in environment's complexity
2. Difficulty predicting future with accuracy
3. Increasing number of variables
4. Rate of obsolescence of plans
5. Domestic and global events
6. Decreasing time span for planning certainty

Lecture #43 & 44 lecture44 is the topic lec43 measuring organizational performance

1. Identify any five questions arises while developing a revised EFE matrix for, reviewing the underlying bases of an organization's strategy.
Answer page 150
A revised EFE Matrix should indicate how effective a firm's strategies have been in response to key opportunities and threats. This analysis could also address such questions as the following:
1. How have competitors reacted to our strategies?
2. How have competitors' strategies changed?
3. Have major competitors' strengths and weaknesses changed?
4. Why are competitors making certain strategic changes?
5. Why are some competitors' strategies more successful than others?
6. How satisfied are our competitors with their present market positions and profitability?
7. How far can our major competitors be pushed before retaliating?
8. How could we more effectively cooperate with our competitors?

2. Write some potential problems associated with using quantitative criteria for evaluating strategies.
Answer page 151
But there are some potential problems associated with using quantitative criteria for evaluating strategies.
First, most quantitative criteria are geared to annual objectives rather than long-term objectives.
Also, different accounting methods can provide different results on many quantitative criteria.
Third, intuitive judgments are almost always involved in deriving quantitative criteria. For these and other reasons, qualitative criteria are also important in evaluating strategies.
Human factors such as high absenteeism and turnover rates, poor production quality and quantity rates, or low employee satisfaction can be underlying causes of declining performance. Marketing, finance/accounting, R&D, or computer information systems factors can also cause financial problems.

3. Suggest that what would be the best way to overcome the individuals' resistance to change while taking corrective actions?
Answer page 152
Taking corrective actions raises employees' and managers' anxiety. Research suggests that participation in strategy-evaluation activities is one of the best ways to overcome individuals' resistance to change. According to Erez and Kanfer, individuals accept change best when they have a cognitive understanding of the changes, a sense of control over the situation, and an awareness that necessary actions are going to betaken to implement the changes.

4. Seymour Tilles acknowledged six qualitative questions that are practical in evaluating strategies. You are required to identify any five of them. Marks: 5
Answer page 153
Seymour Tilles identified six qualitative questions that are useful in evaluating strategies:
1. is the strategy internally consistent?
2. Is the strategy consistent with the environment?
3. Is the strategy appropriate in view of available resources?
4. Does the strategy involve an acceptable degree of risk?
5. Does the strategy have an appropriate time framework?
6. is the strategy workable?

MCQ's
1. A revised EFE Matrix should focus on which of the following?
► Changes in the organization's management, marketing R & D, computer information system and environment
► Marketing, finance/accounting, production/operations, R&D and computer information systems strengths and weaknesses
► Effectiveness of a firm's strategies in response to key opportunities and threats
► Effectiveness of an organization' strategy in pursuing the competitive goals ands managerial actions
A revised EFE Matrix should indicate how effective a firm's strategies have been in response to key opportunities and threats.Page#150

2. To make changes in the organization's management, marketing, finance/accounting and R&D, which one of the following should be focused?
► Revised mission
► Revised IFE matrix
► Revised EFE matrix
► Revised EPM matrix
A revised IFE Matrix should focus on changes in the organization's management, marketing, finance/accounting, production/operations, R&D, and computer information systems strengths and weaknesses. Page#150

3. A revised IFE Matrix should focus on which one of the following?

► Changes in the organization's management, marketing R & D, computer information system and external environment
► Marketing, finance/accounting, production/operations, R&D and computer information systems strengths and weaknesses
► Effectiveness of a firm's strategies in response to key opportunities and threats
► Effectiveness of an organization' strategy in pursuing the competitive goals ands managerial actions
A revised IFE Matrix should focus on changes in the organization's management, marketing, finance/accounting, production/operations, R&D, and computer information systems strengths and weaknesses. Page#150

4. There are numerous external and internal factors that can prohibit firms from achieving long-term and annual objectives. Which of the following is NOT an external factor?
► Actions by competitors
► Changes in technology
► Changes in demand
► Ineffective strategies
Externally, actions by competitors, changes in demand, changes in technology, economic changes, demographic shifts, and governmental actions may prohibit objectives from being accomplished. Page#150

5. Which of the following statement is TRUE about most of the quantitative criteria evaluating strategies?
►These are geared to annual objective
►These are geared to short-term objective
►These are geared to long-term objective
►These are geared to social objectives
First, most quantitative criteria are geared to annual objectives rather than long term objectives. Page#151

6. What is the basis for quantitative financial evaluation?
►The EPS/EBIT Analysis
►Capital Asset Pricing Model
►Financial ratios
►Present value analysis
Quantitative criteria commonly used to evaluate strategies are financial ratios Page#151

7. All of the following are key financial ratios EXCEPT:
► Market share
► Production quality
► Earnings per share
► Return on equity
Page#151 Some key financial ratios that are particularly useful as criteria for strategy evaluation are as follows:

1. Return on investment
2. Return on equity
3. Profit margin
4. Market share
5. Debt to equity
6. Earnings per share
7. Sales growth
8. Asset growth

8. Some potential problems associated with using quantitative criteria for evaluating strategies include all of the following EXCEPT:
►Most quantitative criteria are geared to annual objectives rather than long-term objectives
►These ratios use qualitative data for evaluating strategies which often is not available
► Different accounting methods can provide different results on many quantitative criteria
► Intuitive judgments are almost always involved in deriving quantitative criteria
There are some potential problems associated with using quantitative criteria for evaluating strategies. First, most quantitative criteria are geared to annual objectives rather than long-term objectives. Also, different accounting methods can provide different results on many quantitative criteria. Third, intuitive judgments are almost always involved in deriving quantitative criteria.Page#151

9. Which of the following is MOST appropriate about financial ratios?
► Compare a firm' performance with competitors
► Compare a firm' performance with suppliers
► Compare a firm's performance with non-financial ratios
► Compare a firm's performance with business standards
(Page 151) Quantitative criteria commonly used to evaluate strategies are financial ratios, which strategists use to make three critical comparisons: (1) comparing the firm's performance over different time periods, (2) comparing the firm's performance to competitors', and (3) comparing the firm's performance to industry averages.

10. Which of the following is NOT a key financial ratio?
► Earnings per share
► Production growth
► Asset growth
► Profit margin
Handout Page#151
Some key financial ratios that are particularly useful as criteria for strategy evaluation are as follows:
1. Return on investment
2. Return on equity
3. Profit margin

4. Market share
5. Debt to equity
6. Earnings per share
7. Sales growth
8. Asset growth

11. Which one of the following is NOT correct about financial ratios?
►These are used to compare the firm's performance over different time periods
►These are used to compare the firm's performance relevant to its competitors'
►These are used to compare the firm's performance in relation to industry averages
►These are used to compare the firm's performance in relation to future trends
(1) Comparing the firm's performance over different time periods,
(2) Comparing the firm's performance to competitors',
(3) Comparing the firm's performance to industry averages. Page#151

12. Strategy evaluation is based on which of the following?
►Quantitative and empirical criteria
►Empirical and qualitative criteria
►Qualitative and objective criteria
►Qualitative and quantitative criteria
Strategy evaluation is based on both quantitative and qualitative criteria. Page#153

Lecture #45
1. Describe qualities of good evaluation system?
Answer page 154
A Good evaluation system must posses various qualities. It must meet several basic requirements to be effective.

- **First, strategy-evaluation activities must be economical; too much information can be just as bad as too little information; and too many controls can do more harm than good.**
- **Strategy-evaluation activities also should be meaningful; they should specifically relate to a firm's objectives.**
- **They should provide managers with useful information about tasks over which they have control and influence.**
- **Strategy-evaluation activities should provide timely information; on occasion and in some areas, managers may need information daily..**
- **Strategy evaluation should be designed to provide a true picture of what is happening.**
- **Information derived from the strategy-evaluation process should facilitate action and should be directed to those individuals in the organization who need to take action based on it.**
- **Controls need to be action-oriented rather than information-oriented.**
- **The strategy-evaluation process should not dominate decisions; it should foster mutual understanding, trust, and common sense! No department should fail to cooperate with another in evaluating strategies.**

- **Strategy evaluations should be simple, not too cumbersome, and not too restrictive. Complex strategy evaluation systems often confuse people and accomplish little. The test of an effective evaluation system is its usefulness, not its complexity.**

2. Define and discuss contingency plans?
Answer page 155
Contingency plans can be defined as alternative plans that can be put into effect if certain key events do not occur as expected. Only high-priority areas require the insurance of contingency plans. Strategists cannot and should not try to cover all bases by planning for all possible contingencies. But in any case, contingency plans should be as simple as possible.
Some contingency plans commonly established by firms include the following:
1. If a major competitor withdraws from particular markets as intelligence reports indicate, what actions should our firm take?
2. If our sales objectives are not reached, what actions should our firm take to avoid profit losses?
3. If demand for our new product exceeds plans, what actions should our firm take to meet the higher demand?
4. If certain disasters occur—such as loss of computer capabilities; a hostile takeover attempt; loss of patent protection; or destruction of manufacturing facilities because of earthquakes, tornados, or hurricanes—what actions should our firm take?
5. If a new technological advancement makes our new product obsolete sooner than expected, what actions should our firm take?

3. Auditors who perform audit can be divided into three groups? Identify and define each of them.
Answer page 155 to156
Auditing is defined by the American Accounting Association (AAA) as "a systematic process of objectively obtaining and evaluating evidence regarding assertions about economic actions and events to ascertain the degree of correspondence between those assertions and established criteria, and communicating the results to interested users."
People who perform audits can be divided into three groups: independent auditors, government auditors, and internal auditors. Independent auditors basically are certified public accountants (CPAs) who provide their services to organizations for a fee; they examine the financial statements of an organization to determine whether they have been prepared according to generally accepted accounting principles (GAAP) and whether they fairly represent the activities of the firm. Independent auditors use a set of standards called generally accepted auditing standards (GAAS). Public accounting firms often have a consulting arm that provides strategy-evaluation services.
Two government agencies—the General Accounting Office (GAO) and the Internal Revenue Service (IRS)—employ government auditors responsible for making sure that organization comply with federal laws, statutes, and policies. GAO and IRS

auditors can audit any public or private organization. The third group of auditor is employees within an organization who are responsible for safeguarding company assets, for assessing the efficiency of company operations, and for ensuring that generally accepted business procedures are practiced.

MCQs'

1. A good evaluation system must posses various qualities. Which of the following is not a characteristic of a good strategy evaluation system?

► Strategy-evaluation activities must be economical
► Strategy-evaluation activities should be meaningful
► Strategy-evaluation activities should dominate the decisions
► Strategy-evaluation activities should provide timely information

Page#154• First, strategy -evaluation activities must be economical; too much information can be just as bad as too little information; and too many controls can do more harm than good.
• Strategy -evaluation activities also should be meaningful; they should specifically relate to a firm's objectives.
• Strategy -evaluation activities should provide timely information; on occasion and in some areas, managers may need information daily.

2. Which of the following statement is TRUE about 'Controls' which are used in strategy evaluation stage?

►They are strategy-oriented
►They are action-oriented
►They are control-oriented
►They are information-oriented

Controls need to be action-oriented rather than information-oriented. Page#154

3. Identify a factor which determines the final design of a firm's strategy-evaluation and control system.

► Opportunities
► External characteristics
► Organization's characteristics
► Competition 'characteristics

The unique characteristics of an organization, including its size, management style, purpose, problems, and strengths, can determine a strategy-evaluation and control system's final design. Page#154

4. According to "Linneman and Chandran", which of the following permits quick response to change, prevents panic in crisis situations and makes managers more adaptable?

► Forecasting
► Contingency planning
► Taking corrective actions
► Environmental scanning

Linneman and Chandran reported that contingency planning gave users such as

DuPont, Dow Chemical, Consolidated Foods, and Emerson Electric three major benefits: It permitted quick response to change, it prevented panic in crisis situations, and it made managers more adaptable by encouraging them to appreciate just how variable the future can be.Page#155

5. The people who perform audit can be categorized as all of the following EXCEPT:

►Independent auditors
►Financial auditors
►Government auditors
►Internal auditors

People who perform audits can be divided into three groups: independent auditors, government auditors, and internal auditors.Page#155

6. Which of the following is defined as having alternative plans that can be put into effect if certain key events do not occur as expected?

►corporate agility
► Scenario planning
► Forecasting
► Contingency planning

Contingency plans can be defined as alternative plans that can be put into effect if certain key events do not occur as expected. Page#155

7. The product design, packaging, product disposal and corporate rewards should reflect which of the following?

► Product quality consideration
► Union consideration
► Environmental consideration
► Customer consideration

Page#156Product design, manufacturing, transportation, customer use, packaging, product disposal, and corporate rewards and sanctions should reflect environmental considerations.

8. Too much emphasis on evaluating strategies may be expensive and counterproductive.

► True
► False

Page#157Too much emphasis on evaluating strategies may be expensive and counterproductive.

The End

The LORD is my shepherd, I lack nothing. Psalm 23:1